DATED 2025

HARROW PRECISION ENGINEERING LIMITED

(1)

and

STRATTON ENERGY PLC

(2)

SUPPLY AGREEMENT

relating to the supply of HX-Series centrifugal pumps, packaged pump sets and associated spares and services

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Whitfield Carter LLP
22 Bishopsgate, London EC2N 4BQ
Ref: SW/JO/HPE-STRAT/00150

THIS AGREEMENT is dated [ ] 2025

PARTIES

(1) HARROW PRECISION ENGINEERING LIMITED, a company incorporated in England and Wales with registered number 04127765 whose registered office is at Brunel Works, Tame Valley Industrial Estate, Tamworth B77 5DQ (the “Supplier”); and

(2) STRATTON ENERGY PLC, a company incorporated in England and Wales with registered number 03318842 whose registered office is at Stratton House, 14 Carmelite Street, London EC4Y 0BS (the “Customer”),

each a “party” and together the “parties”.

BACKGROUND

(A) The Supplier designs, manufactures and supplies industrial centrifugal pumps, packaged pump sets, mechanical seals and associated spare parts, and provides related commissioning, servicing and technical support.

(B) The Customer operates water-treatment, cooling-water and balance-of-plant systems across its thermal and energy-from-waste generating sites in the United Kingdom and requires a secure, scheduled supply of such Products together with spares and field service.

(C) Following a competitive tender (Stratton tender reference SE/PROC/2024/318) the Customer has selected the Supplier as a strategic supplier. The parties have agreed to enter into this Agreement to govern the supply of the Products and Services on the terms set out below.

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement the following definitions apply: “Agreement” means this agreement including its Schedules; “Business Day” means a day other than a Saturday, Sunday or public holiday in England when banks in London are open for business; “Charges” means the charges payable for the Products and Services as set out in or calculated in accordance with Schedule 3 (Pricing); “Commencement Date” means the date of this Agreement; “Force Majeure Event” has the meaning given in clause 18; “Initial Term” means the period of five (5) years from the Commencement Date; “Minimum Purchase Commitment” means the minimum aggregate value of Products and Services the Customer commits to order in each Contract Year as set out in clause 4; “Order” means a purchase order issued by the Customer under clause 5; “Products” means the goods described in Schedule 1 (Products and Specification); “Schedule” means a schedule to this Agreement; “Services” means the commissioning, servicing, training and support services described in Schedule 2; “Service Levels” means the service levels and key performance indicators set out in Schedule 4 (Service Levels); and “Specification” means the technical specification for the Products set out in Schedule 1.

1.2 Clause and Schedule headings do not affect interpretation. A reference to a statute or statutory provision is a reference to it as amended or re-enacted. Words in the singular include the plural and vice versa. Any words following “including”, “in particular” or any similar expression are illustrative and do not limit the words preceding them.

1.3 In the event of conflict, the clauses of this Agreement take precedence over the Schedules, save that Schedule 1 (Specification) prevails on matters of technical specification.

2. SUPPLY OF PRODUCTS AND SERVICES

2.1 With effect from the Commencement Date and throughout the Term, the Supplier shall manufacture, sell and deliver the Products, and provide the Services, to the Customer in accordance with this Agreement, the Specification and the Service Levels.

2.2 The Supplier shall ensure that the Products: (a) conform in all material respects with the Specification; (b) are free from material defects in design, material and workmanship for the

Warranty Period; (c) are manufactured in accordance with the Supplier's ISO 9001:2015 quality-management system and the applicable standards listed in Schedule 1; and (d) comply with all applicable laws and regulatory requirements in force in the United Kingdom at the date of delivery.

2.3 The Supplier shall not be entitled to make any change to the Specification, the bill of materials or the approved sub-suppliers for any Product without the Customer's prior written consent (such consent not to be unreasonably withheld or delayed), save for changes required by law, which shall be notified to the Customer as soon as reasonably practicable.

2.4 The Supplier shall hold and maintain a buffer stock of the critical spare parts listed in Part B of Schedule 1 sufficient to meet four (4) weeks' average demand, and shall guarantee the availability of spare parts for each Product for a period of not less than ten (10) years following the last delivery of that Product.

3. TERM

3.1 This Agreement takes effect on the Commencement Date and, unless terminated earlier in accordance with its terms, continues for the Initial Term.

3.2 On expiry of the Initial Term this Agreement shall automatically renew for successive periods of twelve (12) months (each a "Renewal Term" and together with the Initial Term, the "Term") unless either party gives not less than twelve (12) months' written notice of non-renewal expiring at the end of the Initial Term or the then-current Renewal Term.

4. MINIMUM PURCHASE COMMITMENT

4.1 The Customer commits to place Orders for Products and Services with an aggregate value of not less than three million two hundred thousand pounds (£3,200,000) (exclusive of VAT) in each Contract Year (the "Minimum Purchase Commitment"). "Contract Year" means each successive period of twelve months commencing on the Commencement Date.

4.2 If, in any Contract Year, the aggregate value of Orders placed by the Customer is less than the Minimum Purchase Commitment, the Customer shall pay to the Supplier, within thirty (30) days of the Supplier's invoice, a shortfall payment equal to fifteen per cent (15%) of the difference between the Minimum Purchase Commitment and the value of Orders actually placed in that Contract Year.

4.3 The Minimum Purchase Commitment shall be reduced pro rata for any period during which the Supplier is in material breach of the Service Levels or is unable to supply by reason of a Force Majeure Event affecting the Supplier.

5. ORDERING AND FORECASTS

5.1 The Customer shall provide the Supplier with a non-binding rolling forecast of its anticipated requirements for the following twelve (12) months, updated monthly. The first three (3) months of each forecast shall be treated as a binding commitment to order.

5.2 The Customer shall order Products and Services by issuing written Orders quoting the relevant part numbers and the Customer's required delivery date. Each Order placed under and in accordance with this Agreement is an offer by the Customer to purchase the Products and Services specified in it on the terms of this Agreement.

5.3 The Supplier shall acknowledge each Order within two (2) Business Days, confirming the committed delivery date. No terms or conditions endorsed on, delivered with or referred to in any Order, acknowledgement or other document shall form part of this Agreement except as expressly agreed in writing.

6. DELIVERY AND TITLE

6.1 The Supplier shall deliver the Products Delivered Duty Paid (DDP, Incoterms® 2020) to the Customer's nominated site set out in the relevant Order, on the date confirmed in the Order acknowledgement.

6.2 Time of delivery is of the essence. If the Supplier fails to deliver any Products by the confirmed delivery date (otherwise than by reason of a Force Majeure Event or the Customer's default), the Supplier shall pay to the Customer liquidated damages of zero point five per cent (0.5%) of the price of the late Products for each complete week of delay, up to a maximum of seven point five per cent (7.5%) of the price of the late Products. The parties agree that this represents a genuine pre-estimate of the Customer's loss.

6.3 Risk in the Products passes to the Customer on completion of delivery. Title to the Products passes to the Customer on the later of delivery and receipt by the Supplier of payment in full for the Products.

6.4 The Customer shall inspect the Products on delivery and shall notify the Supplier of any shortage, damage or non-conformity apparent on reasonable inspection within ten (10) Business Days of delivery.

7. ACCEPTANCE AND COMMISSIONING

7.1 Where the Order requires commissioning, the Supplier shall commission the Products at the relevant site and the Products shall be deemed accepted on the issue by the Customer of a signed acceptance certificate confirming successful completion of the commissioning tests set out in Schedule 2.

7.2 If the Products fail the commissioning tests, the Supplier shall promptly remedy the failure at its own cost and re-submit the Products for testing. If the Products fail the commissioning tests on three or more occasions, the Customer may, at its option, reject the Products and require a refund of all Charges paid in respect of them.

8. CHARGES, INVOICING AND PAYMENT

8.1 In consideration of the supply of the Products and Services, the Customer shall pay the Charges set out in or calculated in accordance with Schedule 3. The Charges are exclusive of VAT, which the Customer shall pay at the prevailing rate on receipt of a valid VAT invoice.

8.2 The Supplier shall invoice the Customer on or after delivery of the Products or completion of the relevant Services. The Customer shall pay each correctly rendered, undisputed invoice within forty-five (45) days of the date of invoice.

8.3 The prices set out in Schedule 3 shall remain fixed for the first Contract Year. With effect from the start of each subsequent Contract Year, the Supplier may increase the prices once per Contract Year by an amount not exceeding the percentage increase, over the preceding twelve months, of the index basket described in Schedule 3 (being a weighted basket of the ONS Producer Price Index for fabricated metal products and a published electricity-cost index), subject to a cap of four per cent (4%) in any Contract Year. The Supplier shall give the Customer not less than sixty (60) days' written notice of any price increase.

8.4 If the Customer fails to pay any undisputed sum by its due date, the Supplier may charge interest on the overdue amount at four per cent (4%) per annum above the base rate of the Bank of England from time to time, accruing daily from the due date until payment.

8.5 The Customer may withhold payment of any amount that it disputes in good faith, provided it notifies the Supplier of the dispute and the grounds for it before the due date and pays the undisputed balance. The parties shall seek to resolve any disputed amount in accordance with clause 20.

9. WARRANTIES

9.1 The Supplier warrants that, for a period of twenty-four (24) months from delivery or, where commissioning is required, from acceptance (the "Warranty Period"), the Products will conform with the Specification and be free from defects in design, material and workmanship under normal use.

9.2 If, during the Warranty Period, any Product fails to comply with the warranty in clause 9.1, the Supplier shall, at its option and at its own cost (including the cost of removal, transport and re-installation), repair or replace the defective Product, or refund the price of the defective Product, within the response and rectification times set out in Schedule 4.

9.3 The warranty in clause 9.1 does not apply to defects caused by fair wear and tear, wilful damage, abnormal operating conditions, failure to follow the Supplier's operating or maintenance instructions, or alteration or repair of the Products by any person other than the Supplier or a person approved by the Supplier in writing.

9.4 Each party warrants that it has full power and authority to enter into and perform this Agreement and that this Agreement is executed by a duly authorised representative.

10. INTELLECTUAL PROPERTY

10.1 All intellectual property rights in the Products, the Specification, the Supplier's designs, drawings and know-how shall remain vested in the Supplier (or its licensors). Nothing in this Agreement transfers ownership of any of the Supplier's intellectual property rights to the Customer.

10.2 The Supplier grants the Customer a non-exclusive, royalty-free licence to use the Supplier's operating and maintenance documentation to the extent necessary to install, operate, maintain and repair the Products.

10.3 The Supplier shall indemnify the Customer against all losses, liabilities, costs and expenses suffered or incurred by the Customer arising out of any claim that the Customer's use of the Products in accordance with this Agreement infringes the intellectual property rights of any third party, subject to clause 11.

11. LIMITATION OF LIABILITY

11.1 Nothing in this Agreement limits or excludes either party's liability for: (a) death or personal injury caused by its negligence; (b) fraud or fraudulent misrepresentation; (c) any liability that cannot lawfully be limited or excluded; or (d) the Customer's obligation to pay the Charges.

11.2 Subject to clause 11.1, neither party shall be liable to the other, whether in contract, tort (including negligence), breach of statutory duty or otherwise, for any loss of profit, loss of revenue, loss of anticipated savings, loss of production, loss of contract or any indirect or consequential loss.

11.3 Subject to clauses 11.1 and 11.2, the total aggregate liability of each party arising out of or in connection with this Agreement in any Contract Year shall not exceed an amount equal to one hundred and twenty-five per cent (125%) of the total Charges paid or payable by the Customer under this Agreement in the twelve (12) months immediately preceding the date on which the relevant claim arose.

11.4 The liquidated damages payable under clause 6.2 and the warranty remedies under clause 9 count towards, and are subject to, the liability cap in clause 11.3, save that the indemnity in clause 10.3 (IP infringement) is subject to a separate aggregate cap equal to two hundred per cent (200%) of the Charges paid in the preceding twelve (12) months.

12. INSURANCE

12.1 The Supplier shall maintain, with a reputable insurer, product liability insurance, public liability insurance and professional indemnity insurance each with a limit of not less than ten million pounds (£10,000,000) for each claim, and shall produce evidence of such insurance to the Customer on reasonable request.

13. COMPLIANCE, ANTI-BRIBERY AND MODERN SLAVERY

13.1 Each party shall comply with all applicable laws relating to anti-bribery and anti-corruption including the Bribery Act 2010, and shall not engage in any activity that would constitute an offence under that Act.

13.2 The Supplier shall comply with the Modern Slavery Act 2015, shall ensure that slavery and human trafficking are not taking place in its business or supply chains, and shall comply with the Customer's Supplier Code of Conduct as notified to the Supplier from time to time.

13.3 The Supplier shall maintain and comply with adequate procedures to ensure compliance with applicable export control, sanctions and health-and-safety legislation.

14. CONFIDENTIALITY

14.1 Each party shall keep confidential all confidential information of the other party disclosed in connection with this Agreement and shall use it only for the purposes of performing its obligations under this Agreement.

14.2 The obligations in clause 14.1 do not apply to information that is or becomes publicly available (other than through breach of this Agreement), was lawfully in the receiving party's possession before disclosure, or is required to be disclosed by law or any regulatory authority.

14.3 This clause 14 shall survive termination or expiry of this Agreement for a period of five (5) years.

15. TERMINATION

15.1 Either party may terminate this Agreement with immediate effect by written notice to the other if the other: (a) commits a material breach of this Agreement which is irremediable or, if remediable, is not remedied within thirty (30) days of written notice requiring it to do so; or (b) becomes insolvent, enters into administration, has a receiver appointed, or is unable to pay its debts within the meaning of section 123 of the Insolvency Act 1986.

15.2 The Customer may terminate this Agreement on six (6) months' written notice for convenience at any time after the second anniversary of the Commencement Date, provided that on such termination the Customer shall pay for all Products delivered and Services performed up to the date of termination and shall purchase, at cost, any bespoke materials and work-in-progress reasonably committed by the Supplier against the binding portion of the then-current forecast.

15.3 On termination or expiry of this Agreement: (a) the Customer shall pay all outstanding undisputed invoices; (b) any provisions that expressly or by implication survive termination shall continue in full force; and (c) the Supplier shall, at the Customer's request and cost, continue to supply spare parts and field service for the Products for a transitional period of up to twelve (12) months on the terms of this Agreement.

16. BUSINESS CONTINUITY AND STEP-IN

16.1 The Supplier shall maintain a business-continuity and disaster-recovery plan reasonably designed to ensure continuity of supply of the critical Products, and shall test and review that plan at least annually and provide a summary to the Customer on request.

16.2 If the Supplier suffers an insolvency event or persistently fails to meet the Service Levels such that continuity of supply of critical Products is materially threatened, the Supplier shall, at the

Customer's request, grant the Customer (or a third party nominated by the Customer) a non-exclusive licence of the manufacturing drawings and bills of materials for the critical Products solely to procure continuity of supply, on fair and reasonable royalty terms to be agreed.

17. FORCE MAJEURE

17.1 Neither party shall be in breach of this Agreement or otherwise liable for any failure or delay in performance (other than the obligation to pay money) caused by an event beyond its reasonable control (a "Force Majeure Event").

17.2 The affected party shall notify the other as soon as reasonably practicable and shall use reasonable endeavours to mitigate the effect of the Force Majeure Event. If the Force Majeure Event continues for more than ninety (90) consecutive days, either party may terminate this Agreement on thirty (30) days' written notice.

18. DISPUTE RESOLUTION

18.1 If a dispute arises out of or in connection with this Agreement, a senior representative of each party shall meet within fourteen (14) days of a written escalation notice and shall use reasonable endeavours to resolve the dispute in good faith.

18.2 If the dispute is not resolved within thirty (30) days of the escalation notice, the parties shall attempt to settle it by mediation in accordance with the CEDR Model Mediation Procedure before commencing court proceedings.

18.3 Nothing in this clause prevents either party from seeking interim or injunctive relief from the courts at any time.

19. GENERAL

19.1 Notices: any notice under this Agreement shall be in writing and delivered by hand, pre-paid first-class post or email to the address of the relevant party set out in Schedule 5, and shall be deemed received, if by hand, on delivery; if by post, on the second Business Day after posting; and if by email, on transmission subject to confirmation of delivery.

19.2 Entire agreement: this Agreement constitutes the entire agreement between the parties and supersedes all prior agreements, representations and understandings between them relating to its subject matter.

19.3 Assignment: neither party may assign, transfer or sub-contract any of its rights or obligations under this Agreement without the prior written consent of the other (not to be unreasonably withheld), save that the Supplier may sub-contract performance of the Services provided it remains liable for the acts and omissions of its sub-contractors.

19.4 Variation: no variation of this Agreement is effective unless it is in writing and signed by or on behalf of each party.

19.5 Third party rights: a person who is not a party to this Agreement has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any of its terms.

19.6 Counterparts: this Agreement may be executed in any number of counterparts, each of which constitutes a duplicate original, but all the counterparts together constitute one agreement.

19.7 Governing law and jurisdiction: this Agreement and any dispute arising out of or in connection with it are governed by and construed in accordance with the law of England and Wales, and the parties submit to the exclusive jurisdiction of the courts of England and Wales.

EXECUTION

This Agreement has been entered into on the date stated at the beginning of it.

EXECUTED for and on behalf of HARROW PRECISION ENGINEERING LIMITED:

Signature: .....

Name: Rebecca Lund

Title: Finance Director, duly authorised

EXECUTED for and on behalf of STRATTON ENERGY PLC:

Signature: .....

Name: Catherine Mowbray

Title: Director & Group General Counsel, duly authorised

SCHEDULE 1 — PRODUCTS AND SPECIFICATION

Part A — Core Products

Part No.	Product	Duty / Specification	List price (£)
HX-150-CW	HX-Series end-suction centrifugal pump, 150mm	Cooling water; 220 m³/h @ 45m head; duplex stainless impeller	18,400
HX-200-BP	HX-Series packaged booster set, 200mm	Treated-water boosting; 400 m³/h @ 60m; VSD control panel	42,750
HX-300-PS	HX-Series split-case process pump, 300mm	Balance-of-plant; 900 m³/h @ 80m head	67,500
HX-SEAL-K	Mechanical seal cartridge kit (per pump)	Cartridge double seal, API 682 Plan 53B	2,150

Part B — Critical spare parts (buffer stock, 4 weeks' average demand)

Part No.	Description	Buffer stock units
HX-IMP-150	Replacement impeller, 150mm duplex	6
HX-IMP-300	Replacement impeller, 300mm	3
HX-BRG-SET	Bearing assembly set	10
HX-SEAL-K	Mechanical seal cartridge kit	12

Applicable standards: BS EN ISO 9906:2012 (hydraulic performance, Grade 2B); BS EN 733; API 610 where specified in the relevant Order; CE/UKCA marking; ATEX where specified. Quality system: ISO 9001:2015 (certificate 0042-QMS-HPE).

SCHEDULE 2 — SERVICES

The Supplier shall provide the following Services as ordered:

- Site commissioning and performance testing of packaged pump sets, including witnessed performance tests to BS EN ISO 9906:2012 Grade 2B and the issue of test certificates.
- Scheduled preventive maintenance visits (where ordered under a service Order), including condition monitoring, vibration analysis and seal inspection.
- Emergency call-out and breakdown attendance in accordance with the response times in Schedule 4.
- Operator and maintenance training for the Customer's site personnel (minimum two courses per Contract Year, included at no additional charge).

Commissioning tests: each packaged set must achieve rated duty within +/- 5% of the specified flow and head, with vibration within ISO 10816 zone B and noise within the limit stated in the Order, to pass.

SCHEDULE 3 — PRICING

1. The Charges are the list prices set out in Schedule 1 Part A, less the volume discounts in paragraph 2 below.

2. Volume discount (applied to aggregate Orders in each Contract Year):

Aggregate annual Order value (£, ex VAT)	Discount
Up to 3,200,000 (Minimum Purchase Commitment)	5%
3,200,001 to 5,000,000	8%
Over 5,000,000	11%

3. Spares and service labour are charged at the Supplier's published rate card (rate card SE-2025-01), held fixed for the first Contract Year.

4. Price-review index basket (clause 8.3): 70% ONS Producer Price Index — fabricated metal products (CPA 25); 30% published UK electricity-cost index. Annual increase capped at 4%.

5. Payment terms: 45 days from date of valid invoice. Currency: pounds sterling.

SCHEDULE 4 — SERVICE LEVELS

KPI	Target	Service credit / remedy
On-time-in-full delivery (OTIF)	>= 97% of order lines per quarter	Liquidated damages per clause 6.2 for late lines
Emergency breakdown — response	Engineer on site within 24 hours (critical sites: 8 hours)	Service credit of £500 per breach
Warranty defect — rectification	Repair/replace within 10 Business Days	Service credit of £250 per day late
Spare-parts availability	>= 98% of buffer-stock lines in stock	Expedited sourcing at Supplier's cost
Quality — defect rate	<= 1.5% of delivered units per quarter	Root-cause report + corrective action plan

Service credits in any Contract Year are capped in aggregate at five per cent (5%) of the Charges paid in that Contract Year and are without prejudice to the Customer's other rights and remedies.

SCHEDULE 5 — NOTICES AND KEY CONTACTS

Party	Contact	For notices
Supplier (Harrow Precision)	Rebecca Lund, Finance Director	rebecca.lund@harrowprecision.com; Brunel Works, Tamworth B77 5DQ
Customer (Stratton Energy)	Catherine Mowbray, Group GC	catherine.mowbray@strattonenergy.com; Stratton House, 14 Carmelite Street, London EC4Y 0BS
Customer (operational)	Robert Pearce, Head of Procurement	robert.pearce@strattonenergy.com